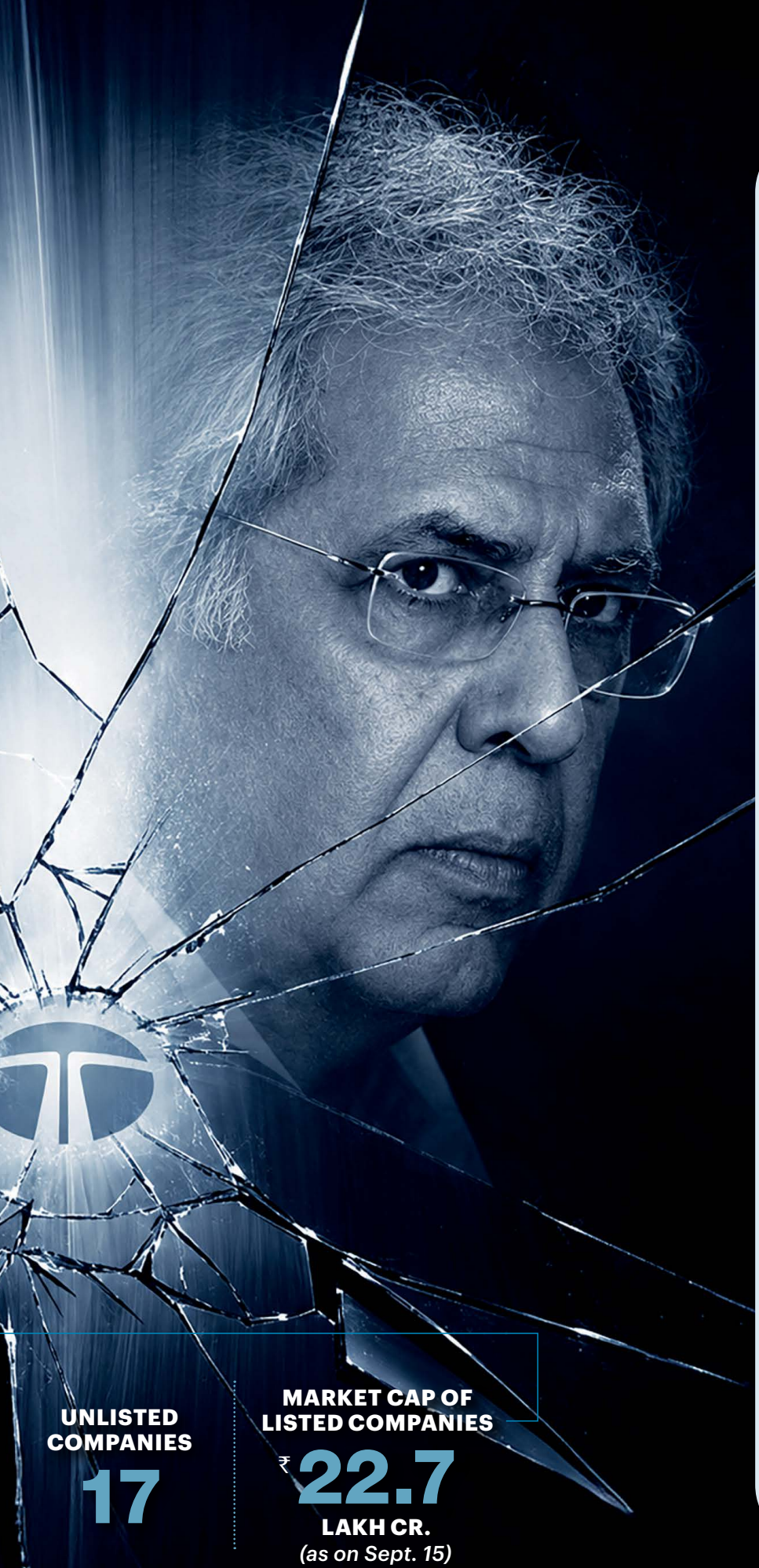


UNLISTED COMPANIES
17

MARKET CAP OF LISTED COMPANIES
₹22.7 LAKH CR.
(as on Sept. 15)

IT

was close to 10 am on September 17, and anticipation was building among mediapersons waiting outside the iconic, century-old Bombay House in South Mumbai. Tata Sons, the holding company of the $180 billion (Rs 17.2 lakh crore) Tata Group, was to hold a crucial board meeting. Its six-member board—comprising chairman Natarajan Chandrasekaran, Tata Trusts chairman Noel Tata, industrialist Venu Srinivasan, former Hindustan Unilever chairman Harish Manwani, investment professional Anita M. George and Tata Group chief financial officer Saurabh Agrawal—had two key matters before it. One concerned the leadership of Tata Sons, after Chandra announced on August 12 that he would not seek a third term when his current tenure ends in February 2027. The other was the proposed public listing of Tata Sons, a private entity.

Just days ago, on September 11, the Reserve Bank of India (RBI) had rejected Tata Sons' application to surrender its status as a Non-Banking Financial Company (NBFC). Tata Sons falls under the upper-layer NBFC category, specifically as a Core Investment Company (CIC), because it is the principal holding and investment company, allocating capital and holding shares in various Tata Group companies. While the upper layer comprises NBFCs with an asset size of Rs 1 lakh crore and above, Tata Sons had standalone assets of Rs 1.75 lakh crore. It paid off over Rs 20,300 crore of debt to become debt-free and bolster its case for de-registration, but the RBI rejected its plea.